

Berkshire Hathaway

The original company, Berkshire Cotton Manufacturing, was incorporated in 1889. Forty years later, Berkshire combined operations with several other textile mills, resulting in one of New England's largest industrial companies. During this period, Berkshire produced approximately 25 percent of the country's cotton needs and absorbed 1 percent of New England's electrical capacity. In 1955, Berkshire merged with Hathaway Manufacturing, and the name was subsequently changed to Berkshire Hathaway.

Unfortunately, the years following the merger were dismal. In less than 10 years, stockholders' equity dropped by half and losses from operations exceeded \$10 million. During the next 20 years, Buffett, along with Ken Chace, who managed the textile group, labored intensely to turn around the New England textile mills. Results were disappointing. Returns on equity struggled to reach double digits.

By the 1970s, shareholders of Berkshire Hathaway began to question the wisdom of retaining an investment in textiles. Buffett made no attempt to hide the difficulties and on several occasions explained his thinking: The textile mills were the largest employer in the area; the workforce was an older age group that possessed relatively nontransferable skills; management had shown a high degree of enthusiasm; the unions were being reasonable; and, very importantly, Buffett believed that some profits could be realized from the textile business.

However, he made it clear that he expected the textile group to earn positive returns on modest capital expenditures. "I won't close down a business of subnormal profitability merely to add a fraction of a point to our corporate returns," said Buffett. "I also feel it is inappropriate for even an exceptionally profitable company to fund an operation once it appears to have unending losses in prospect. Adam Smith would disagree with my first proposition and Karl Marx would disagree with my second; the middle ground," he explained, "is the only position that leaves me comfortable."²¹

As Berkshire Hathaway entered the 1980s, Buffett was coming to grips with certain realities. First, the very nature of the textile business made high returns on equity improbable. Textiles are commodities, and commodities